before, a 51% increase. Over the five years ending in 1999, EMC's earnings had risen at a sizzling annual rate of 28.8%. And, with everyone expecting the tidal wave of Internet commerce to keep rolling, the future looked even brighter. Throughout 1999, EMC's chief executive repeatedly predicted that revenues would hit $10 billion by 2001—up from $5.4 billion in 1998.[2] That would require average annual growth of 23%, a monstrous rate of expansion for so big a company. But Wall Street's analysts, and most investors, were sure EMC could do it. After all, over the previous five years, EMC had more than doubled its revenues and better than tripled its net income.

But from 1995 through 1999, according to Value Line, EMC's net profit margin slid from 19.0% to 17.4%, while its return on capital dropped from 26.8% to 21%. Although still highly profitable, EMC was already slipping. And in October 1999, EMC acquired Data General Corp., which added roughly $1.1 billion to EMC's revenues that year. Simply by subtracting the extra revenues brought in from Data General, we can see that the volume of EMC's existing businesses grew from $5.4 billion in 1998 to just $5.6 billion in 1999, a rise of only 3.6%. In other words, EMC's true growth rate was almost nil—even in a year when the scare over the "Y2K" computer bug had led many companies to spend record amounts on new technology.[3]

A Simple Twist of Freight

Unlike EMC, Expeditors International hadn't yet learned to levitate. Although the firm's shares had risen 30% annually in the 1990s, much of that big gain had come at the very end, as the stock raced to a 109.1% return in 1999. The year before, Expeditors' shares had gone up just 9.5%, trailing the S & P 500 index by more than 19 percentage points.

What about the business? Expeditors was growing expeditiously indeed: Since 1995, its revenues had risen at an average annual rate of 19.8%, nearly tripling over the period to finish 1999 at $1.4 billion. And earnings per share had grown by 25.8% annually, while dividends had risen at a 27% annual clip. Expeditors had no long-term debt, and its working capital had nearly doubled since 1995. According to Value Line, Expeditors' book